

Notes: Bertrand and Mullainathan (JPE, 2003)

Enjoying the Quiet Life? Corporate Governance and Managerial Preferences

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1 Big picture

- **Question.** What do managers do when they are **less disciplined by takeover threats**? Do they build empires, protect workers, shirk difficult decisions, or something else?
- **Setting.** The paper uses the staggered adoption of **state business-combination antitakeover laws** as a source of variation in corporate governance and studies their effects using a **plant-level LRD–Compustat match** for U.S. manufacturing firms from **1976–95**. It also uses the **Census of Auxiliary Establishments** to study white-collar workers.
- **Core challenge.** Governance is endogenous. Firms with weaker governance may differ in many unobserved ways, so ordinary cross-sectional comparisons do not identify managerial preferences.
- **Main empirical idea.** Business-combination laws reduce the threat of hostile takeover for firms incorporated in the legislating state. Because many firms operate plants in states different from their state of incorporation, the authors can compare **plants in the same location** that are affected differently by the law.
- **Main contribution.** The paper maps managerial preferences into concrete outcomes — wages, plant births, plant deaths, capital expenditures, productivity, and profitability — rather than only stock prices or accounting aggregates.
- **Why it matters.** The paper distinguishes between **empire-building** and a **quiet-life** view of management. That matters for how governance connects to labor rents, investment, reallocation, and efficiency.
- **Main findings.**
 - Blue-collar wages rise by about **1.3%**.
 - White-collar wages rise by about **4%**, and white-collar employment rises by about **8%–11%**.
 - The probability of plant death falls by about **2–2.5 percentage points**.
 - The probability of plant birth falls by about **1.9–2.0 percentage points**.
 - There is **no clear effect** on plant-level capital expenditures or overall firm size.
 - Productivity falls: **TFP percentile** drops by about **1.1–1.3 percentile points**.
 - Profitability falls: **return on capital** declines by about **0.8 percentage points**.
- **Economic takeaway.** The average poorly governed manager in this setting does *not* look like an empire builder. Instead, the evidence fits a **quiet-life** model: managers pay higher wages, especially to white-collar workers, and avoid the difficult decisions involved in shutting plants down or starting new ones.

2 Data and measurement (key objects)

2.1 State antitakeover laws

- The treatment is the adoption of **business-combination laws**, the strongest second- and third-generation state antitakeover laws in the sample period.

- These laws impose a **3–5 year moratorium** on important transactions between the target and an interested shareholder — mergers, asset sales, business relationships, liquidation plans, and related transactions — unless the board approves before the acquirer crosses the ownership threshold.
- The key economic meaning is simple: these laws make hostile takeovers harder to finance and easier for incumbent managers to resist, so they **weaken corporate governance**.
- The paper focuses on adoption timing across states such as **New York (1985)**, **Indiana (1986)**, **Delaware (1988)**, **Pennsylvania (1989)**, and others listed in Table 1.

2.2 Main plant-level data: LRD plus Compustat

- **LRD.** The Longitudinal Research Database contains plant-level data for U.S. manufacturing establishments from the Census of Manufactures and the Annual Survey of Manufactures.
- **What is observed at the plant level.**
 - employment,
 - working hours,
 - wage bill,
 - total assets,
 - total value of shipments,
 - age of plant,
 - capital expenditures,
 - industry,
 - location.
- **Compustat match.** Compustat provides firm financials and, crucially, the **state of incorporation** of each firm. That determines whether a plant is exposed to a given state law.
- **Merged sample.** Starting from a 1987 firm match, the authors identify all plants belonging to matched Compustat firms between 1976 and 1995, producing **224,188 plant-year observations** across roughly **1,000 companies**.
- **State of incorporation measurement.** The paper observes incorporation in 1995 only, but argues that incorporation changes are rare. In a manual check of 200 firms, only **three** changed state of incorporation, all to Delaware, and all before Delaware’s 1988 law.

2.3 Auxiliary-establishment data for white-collar workers

- To study white-collar workers more directly, the paper uses the **Census of Auxiliary Establishments**, which covers headquarters and administrative/service establishments.
- These data are available for **1977, 1982, 1987, and 1992** and contain a broader white-collar sample than the LRD.
- **Limitation:** the auxiliary data do *not* observe office location, so the paper cannot control for state-of-location shocks in the same way as in the plant-level manufacturing data.

2.4 Variable construction

- **Production-worker wage.** Average hourly blue-collar wage is production-worker wage bill divided by production-worker hours.
- **Capital stock.** Constructed from a base-year stock plus accumulated capital expenditures, depreciated using industry deflators.
- **Return on capital.** Total value of shipments net of labor and material costs, divided by capital stock.
- **Plant birth.** First year a plant appears in a given firm; this may reflect **new construction** or **acquisition**.
- **Plant death.** Last year a plant appears in a given firm; this may reflect **shutdown** or **sale**.
- **TFP.** Measured from an industry-year production-function residual and converted into a within-industry-year percentile.

2.5 Key summary statistics

- Average total value of shipments per plant is about **\$58.8 million**.
- Average employment is about **436 workers**.
- Average hourly blue-collar wage is about **\$7.61**.
- Annual plant death probability is about **9%**.
- Annual plant birth probability is about **6.5%**.
- The average plant belongs to a firm with about **11.5 plants** at the firm level and about **44.5 plants** at the plant-linked company count level reported in the table.
- Plants in states that eventually pass business-combination laws are **larger on average**, which is why the paper emphasizes staggered timing and robustness checks rather than a simple treated-versus-never-treated comparison.

3 Models and empirical specifications (all equations + interpretation)

3.1 Firm-level differences-in-differences

The basic firm-level specification is

$$y_{jkl t} = a_t + a_j + \gamma X_{jkl t} + d BC_{kt} + e_{jkl t},$$

where:

- j indexes firms,
- k indexes state of incorporation,

- l indexes state of location,
- t indexes time,
- a_t are year fixed effects,
- a_j are firm fixed effects,
- $X_{jkl t}$ are controls,
- BC_{kt} equals 1 after a business-combination law has passed in the firm's incorporation state.

Interpretation. The coefficient d compares outcome changes in treated firms to contemporaneous changes in untreated firms, netting out fixed firm heterogeneity and common time shocks.

3.2 Plant-level specification with location shocks

The paper's main plant-level specification is

$$y_{ijkl t} = a_t + a_i + a_k + \gamma X_{ijkl t} + \rho y_{lt(-i)} + d BC_{kt} + e_{ijkl t},$$

where:

- i indexes plants,
- a_i are plant fixed effects,
- a_k are state-of-incorporation fixed effects,
- $y_{lt(-i)}$ is the mean of the dependent variable in the plant's **state of location** and year, excluding the plant itself.

Interpretation. This is the central empirical design. It compares plants with different incorporation-based treatment status while controlling for local shocks in the state where the plant actually operates. Conceptually, it approximates very rich **state-of-location by year** controls.

3.3 Dynamic treatment effects

To study timing and pretrends, the paper replaces BC_{kt} with event-time dummies:

- Before^{-1} : one year before adoption,
- Before^0 : year of adoption,
- After^1 : one year after adoption,
- After^{2+} : two or more years after adoption.

Interpretation. These dynamic coefficients are a simple event-study check. If the law were picking up preexisting trends, one would expect strong effects already in Before^{-1} . The paper generally does *not* find that.

3.4 TFP construction

For each three-digit industry-year, the paper estimates

$$\log(\text{output}_i) = a \log(\text{wage bill}_i) + b \log(\text{capital}_i) + c \log(\text{material}_i) + e_i.$$

The residual e_i is then converted into a within-industry-year TFP percentile.

Interpretation. This provides a relative plant-level productivity measure that can be tracked before and after governance changes.

3.5 Clustering and inference

- Standard errors are clustered at the **state-of-location** level.
- This matters because laws operate at the state level and outcomes can be serially correlated within location.

4 Identification and what makes the estimates credible

4.1 Why the laws are useful

- Business-combination laws are passed by **states**, not chosen plant by plant.
- This is much cleaner than using endogenous firm-level defenses such as poison pills or observed takeover episodes.
- The laws directly affect takeover discipline and therefore governance intensity.

4.2 The key institutional trick: incorporation versus location

- A plant's **state of incorporation** determines whether the law applies, but a plant's **state of location** determines most economic and political shocks relevant to wages and operations.
- Roughly **three-quarters** of corporations in the sample operate plants in states different from their incorporation state.
- That lets the paper compare, for example, two plants in the same local economy where one belongs to a Delaware-incorporated firm and the other does not.
- This is why the paper can plausibly control for local business-cycle and political-economy shocks while still using law exposure for identification.

4.3 Political-economy concerns

- A remaining concern is that lobbying for laws may happen at the incorporation-state level and could be correlated with common shocks to firms incorporated there.
- The paper argues this is less plausible because the lobbying documented by Romano (1987) is typically **exclusive**, often driven by one important firm rather than a broad coalition.

- The dynamic specifications also help: for the main outcomes, the paper generally finds **little or no effect before passage**, which weakens reverse-causality stories.

4.4 Additional robustness checks

- Excluding **Delaware**-incorporated firms leaves the core findings largely unchanged.
- Restricting to **treated states only** leaves the main qualitative patterns intact, though the blue-collar wage result becomes less precise.
- Restricting to the **1987–95** period yields similar estimates.
- The authors also check differential time trends by industry, region, and size, as well as larger plants only.

4.5 Why the birth/death results are not just mechanical takeover effects

- The authors decompose births into **new construction** versus **acquisition** and deaths into **shutdown** versus **sale**.
- They find declines in both construction and acquisition, and declines in both shutdowns and sales.
- So the results are not just the mechanical consequence of fewer takeovers. They reflect broader changes in managerial decisions.

5 Tables and figures

5.1 Table 1: state antitakeover legislation

- **Read.** This table lists the states and adoption years for three classes of antitakeover laws, especially the business-combination statutes used in the paper.
- **What it establishes.** Treatment is staggered over time, mainly from the mid-1980s to the early 1990s.
- **Why it matters.** The staggered timing is what makes the differences-in-differences design possible.

5.2 Table 2: summary statistics

- **Read.** Table 2 shows the scale of the plants and the baseline turnover rates in the sample.
- **Main facts.**
 - Plants are large on average.
 - Death and birth are common margins of adjustment.
 - Treated states have larger plants and larger firms on average, which is why fixed effects and robustness checks matter.

Business Combination	Fair Price	Control Share Acquisition
Arizona (1987)	Arizona (1987)	Arizona (1987)
Connecticut (1989)	Connecticut (1984)	Hawaii (1985)
Delaware (1988)	Georgia (1985)	Idaho (1988)
Georgia (1988)	Idaho (1988)	Indiana (1986)
Idaho (1988)	Illinois (1984)	Kansas (1988)
Illinois (1989)	Indiana (1986)	Louisiana (1987)
Indiana (1986)	Kentucky (1989)	Maryland (1988)
Kansas (1989)	Louisiana (1985)	Massachusetts (1987)
Kentucky (1987)	Maryland (1983)	Michigan (1988)
Maine (1988)	Michigan (1984)	Minnesota (1984)
Maryland (1989)	Mississippi (1985)	Mississippi (1991)
Massachusetts (1989)	Missouri (1986)	Missouri (1984)
Michigan (1989)	New Jersey (1986)	Nebraska (1988)
Minnesota (1987)	New York (1985)	Nevada (1987)
Missouri (1986)	North Carolina (1987)	North Carolina (1987)
Nebraska (1988)	Ohio (1990)	Oklahoma (1987)
Nevada (1991)	Pennsylvania (1989)	Oregon (1987)
New Jersey (1986)	South Carolina (1988)	Pennsylvania (1989)
New York (1985)	South Dakota (1990)	South Carolina (1988)
Oklahoma (1991)	Tennessee (1988)	South Dakota (1990)
Ohio (1990)	Virginia (1985)	Tennessee (1988)
Pennsylvania (1989)	Washington (1990)	Utah (1987)
Rhode Island (1990)	Wisconsin (1985)	Virginia (1988)
South Carolina (1988)		Wisconsin (1991)
South Dakota (1990)		Wyoming (1990)
Tennessee (1988)		
Virginia (1988)		
Washington (1987)		
Wisconsin (1987)		
Wyoming (1989)		

SOURCE.—Annotated State Codes, various states and years.

Variable	All (1)	Eventually Business Combination (2)	Never Business Combination (3)
Total value of shipments	58,779 (225,681)	61,360 (234,442)	37,880 (133,435)
Log(total value of shipments)	9.48 (1.72)	9.51 (1.71)	9.18 (1.70)
Capital stock	29,593 (101,576)	30,993 (105,165)	18,259 (64,536)
Log(capital stock)	8.01 (1.81)	8.04 (1.82)	7.73 (1.69)
Blue-collar wage	7.61 (5.29)	7.64 (5.34)	7.35 (4.85)
Log(blue-collar wage)	1.82 (.67)	1.83 (.67)	1.79 (.66)
Employment	436.1 (1,145)	454.2 (1,197)	289.8 (559.1)
Log(employment)	5.01 (1.54)	5.04 (1.52)	4.69 (1.61)
Plant death dummy	.09 (.29)	.09 (.28)	.11 (.32)
Plant birth dummy	.06 (.24)	.06 (.24)	.08 (.28)
Investment	5,132 (19,833)	5,318 (20,271)	3,459 (15,234)
Log(investment)	6.79 (1.87)	6.82 (1.87)	6.51 (1.81)
Return on capital	.21 (.33)	.21 (.33)	.21 (.35)
Number of plants	44.5 (44.8)	46.0 (45.8)	32.3 (32.9)
Number of plants (firm-level)	11.5 (19.5)	12.1 (20.3)	8.14 (14.0)
Observations	224,188	199,511	24,677

NOTE.—Plant-level data are taken from the LRD-Compustat match for the years 1976–95. Standard deviations are in parentheses. “All” refers to all plants in the sample; eventually business combination is the subset of plants that belong to firms incorporated in a legislating state; never business combination is the subset of plants that belong to firms incorporated in a nonlegislating state. All nominal variables are expressed in 1994 dollars. Total value of shipments, capital stock, and investment are expressed in thousands of dollars. Blue-collar wage is hourly wages in dollars.

5.3 Tables 3 and 4: wages and white-collar staff

- **Table 3 read.** Blue-collar wages rise after governance weakens. The baseline estimate is about **1.3%**, and the effect survives local controls, plant controls, and differential time shocks by size.
- **Dynamic pattern.** There is no meaningful wage increase one year before passage, and the effect grows after adoption.
- **Table 4 read.** White-collar wages rise much more — around **3.8%–4.4%** — and white-collar employment rises by roughly **8.4%–11.0%**.
- **Interpretation.** Managers appear especially willing to spend on white-collar staff. This is the one place in the paper where something like “empire building” shows up, but it is administrative rather than operating expansion.

Table 3

	DEPENDENT VARIABLE: LOG(WAGE)				
	(1)	(2)	(3)	(4)	(5)
<i>BC</i>	.013 (.005)	.013 (.005)	.013 (.005)	.012 (.005)	...
State-year	...	.436 (.013)	.436 (.061)	.436 (.061)	.439 (.062)
Log(age)	...	...	.037 (.005)	.038 (.005)	...
Return on capital	...	...	-.001 (.000)	-.001 (.000)	...
Log(employment)	...	...	-.016 (.003)	...	...
Before ⁻¹	...	...	...	...	.004 (.004)
Before ⁰	...	...	...	...	.009 (.004)
After ¹	...	...	...	...	.015 (.006)
After ²⁺	...	...	...	...	.019 (.007)
Plant fixed effects?	yes	yes	yes	yes	yes
State of incorporation fixed effects?	yes	yes	yes	yes	yes
Year fixed effects?	yes	yes	yes	yes	yes
Log(base year employ- ment) × year fixed effects?	no	no	no	yes	no
<i>R</i> ²	.836	.836	.836	.836	.836

NOTE.—The dependent variable is the log of production worker wages. Plant-level data are taken from the LRD-Compustat match for the years 1976–95. *BC* is a dummy variable that equals one if a business combination statute has been passed. State-year refers to the mean log production worker wage in the plant's state of location in that year (excluding the plant itself). Before⁻¹ is a dummy variable that equals one if the plant is incorporated in a state that will pass business combination legislation in one year. Before⁰ is a dummy variable that equals one if the plant is incorporated in a state that passes business combination legislation this year. After¹ is a dummy variable that equals one if the plant is incorporated in a state that passed business combination legislation one year ago. After²⁺ is a dummy variable that equals one if the plant is incorporated in a state that passed business combination legislation two years ago or more. Standard errors (in parentheses) are corrected for clustering of the observations at the state of location level.

Table 4

	DEPENDENT VARIABLE			
	Log(Wage)		Log(Employment)	
	(1)	(2)	(3)	(4)
<i>BC</i>	.044 (.013)	.038 (.013)	.110 (.045)	.084 (.045)
Log(total value of shipment)	...	.012 (.005)	...	.048 (.017)
Firm fixed effects?	yes	yes	yes	yes
Year fixed effects?	yes	yes	yes	yes
<i>R</i> ²	.412	.412	.282	.282

NOTE.—Data are taken from the Census of Auxiliary Establishments for the years 1977, 1982, 1987, and 1992. *BC* is a dummy variable that equals one if a business combination statute has been passed. Standard errors are in parentheses.

5.4 Tables 5 and 6: plant deaths and births

- **Table 5 read.** The probability of plant death falls by about **2–2.5 percentage points** from a baseline death rate of about **9%**.
- **Table 6 read.** The probability of plant birth also falls by about **1.9–2.0 percentage points** from a baseline birth rate of about **6.5%**.
- **Dynamic pattern.** Both tables show little sign of a pretrend and larger effects after the law is in place.
- **Interpretation.** Managers are not simply protecting existing plants; they are also less willing to undertake the difficult effort needed to start new ones. This is the cleanest evidence for the quiet-life hypothesis.

Table 5

TABLE 5
EFFECTS OF BUSINESS COMBINATION LAWS ON PLANT DEATHS

	DEPENDENT VARIABLE: DEATH DUMMY					
	Linear Probability Model					Probit Probability Model
	(1)	(2)	(3)	(4)	(5)	(6)
<i>BC</i>	-.025 (.003)	-.025 (.003)	-.023 (.004)	-.021 (.002)	...	-.021 (.002)
State-year	...	.329 (.038)	.244 (.027)	.272 (.030)	.329 (.038)	.311 (.033)
Log(age)	...	...	.006 (.002)	.000 (.002)	...	...
Return on capital	...	...	-.004 (.000)	-.004 (.000)	...	...
Log(employment)	...	...	-.042 (.000)	...	...	...
Before ⁻¹	...	...	...	...	.007 (.006)	...
Before ⁰	...	...	...	...	-.011 (.005)	...
After ¹	...	...	...	...	-.024 (.005)	...
After ²⁺	...	...	...	...	-.035 (.004)	...
Firm fixed effects?	yes	yes	yes	yes	yes	yes
Year fixed effects?	yes	yes	yes	yes	yes	yes
Log(base year employment) × year fixed effects?	no	no	no	yes	no	no
<i>R</i> ²	.065	.071	.099	.086	.066	.042
Observations	225,231	225,231	191,439	191,439	225,231	225,231

NOTE.—The dependent variable is a dummy that equals one in the plant's last year of existence. Plant-level data are taken from the LRD-Compustat match for the years 1976–95. *BC* is a dummy variable that equals one if a business combination statute has been passed. State-year refers to the mean of the dependent variable in the plant's state of location in that year (excluding the plant itself). See the note to table 3 for a description of the other variables. The reported coefficient in the probit model is the effect of a marginal change in the corresponding variable on the probability of plant death, computed at the sample mean of the independent variable. Standard errors (in parentheses) are corrected for clustering of the observations at the state of location level.

Table 6

TABLE 6
EFFECTS OF BUSINESS COMBINATION LAWS ON PLANT BIRTHS (*N*=225,231)

	DEPENDENT VARIABLE: BIRTH DUMMY				
	Linear Probability Model				Probit Probability Model
	(1)	(2)	(3)	(4)	(5)
<i>BC</i>	-.019 (.004)	-.019 (.004)	-.020 (.004)	...	-.008 (.002)
State-year	...	.391 (.063)	.360 (.059)	.390 (.063)	.156 (.023)
Before ⁻¹	...	...	...	.017 (.004)	...
Before ⁰	...	...	...	-.014 (.004)	...
After ¹	...	...	...	-.014 (.007)	...
After ²⁺	...	...	...	-.015 (.004)	...
Firm fixed effects?	yes	yes	yes	yes	yes
Year fixed effects?	yes	yes	yes	yes	yes
Log(base year firm employment) × year fixed effects?	no	no	yes	no	no
<i>R</i> ²	.084	.086	.090	.086	.086

NOTE.—The dependent variable is a dummy that equals one in the plant's first year of existence. Plant-level data are taken from the LRD-Compustat match for the years 1976–95. *BC* is a dummy variable that equals one if a business combination statute has been passed. State-year refers to the mean of the dependent variable in the plant's state of location in that year (excluding the plant itself). See the note to table 3 for a description of the other variables. The reported coefficient in the probit model is the effect of a marginal change in the corresponding variable on the probability of plant birth, computed at the sample mean of the independent variable. Standard errors (in parentheses) are corrected for clustering of the observations at the state of location level.

5.5 Tables 7 and 8: investment and firm size

- **Table 7 read.** Plant-level capital expenditures do **not** respond significantly to the law.
- **Table 8 read.** Measures of firm size — number of plants, capital stock, employment, and output — also show **no significant effect**.
- **Interpretation.** This is hard to reconcile with a classic empire-building model. Managers do not expand the productive footprint of the firm after governance weakens.

Table 7

TABLE 7
EFFECTS OF BUSINESS COMBINATION LAWS ON PLANT-LEVEL INVESTMENT (*N*=110,204)

	DEPENDENT VARIABLE: LOG(INVESTMENT)			
	(1)	(2)	(3)	(4)
<i>BC</i>	.008 (.014)	.005 (.023)	.009 (.024)	.012 (.023)
State-year	...	.144 (.024)	.132 (.021)	.143 (.024)
Log(age)	...	...	-.221 (.028)	-.130 (.031)
Return on capital	...	...	-.056 (.004)	-.043 (.004)
Log(employment)	...	...	.853 (.019)	...
State of incorporation fixed effects?	yes	yes	yes	yes
Plant fixed effects?	yes	yes	yes	yes
Year fixed effects?	yes	yes	yes	yes
Log(base year employment) × year fixed effects?	no	no	no	yes
<i>R</i> ²	.791	.791	.808	.792

NOTE.—The dependent variable is the log of capital expenditures. Plant-level data are taken from the LRD-Compustat match for the years 1976–95. *BC* is a dummy variable that equals one if a business combination statute has been passed. State-year refers to the mean of the dependent variable in the plant's state of location in that year (excluding the plant itself). See the note to table 3 for a description of the other variables. Standard errors (in parentheses) are corrected for clustering of the observations at the state of location level.

Table 8

TABLE 8
EFFECTS OF BUSINESS COMBINATION LAWS ON FIRM SIZE (*N*=20,468)

	DEPENDENT VARIABLE			
	Log(Number of Plants) (1)	Log(Capital Stock) (2)	Log(Employment) (3)	Log(Output) (4)
<i>BC</i>	-.007 (.016)	.022 (.023)	-.008 (.019)	-.011 (.020)
Firm fixed effects?	yes	yes	yes	yes
Year fixed effects?	yes	yes	yes	yes
<i>R</i> ²	.860	.880	.877	.894

NOTE.—Firm-level data are taken from the LRD-Compustat match for the years 1976–95. *BC* is a dummy variable that equals one if a business combination statute has been passed. State-year refers to the mean of the dependent variable in the plant's state of location in that year (excluding the plant itself). See the note to table 3 for a description of the other variables. Standard errors (in parentheses) are corrected for clustering of the observations at the state of location level.

5.6 Table 9: productivity and profitability

- **TFP.** The law lowers TFP by roughly **1.1–1.3 percentile points**.
- **Return on capital.** The law lowers return on capital by about **0.8 percentage points**.
- **Timing.** The negative effects are stronger after passage, especially **two or more years later**.
- **Interpretation.** The rent transfers to workers and the reduction in difficult reallocation decisions do *not* pay for themselves through higher efficiency.

TABLE 9
EFFECTS OF BUSINESS COMBINATION LAWS ON PRODUCTIVITY AND PROFITABILITY

	DEPENDENT VARIABLE									
	TFP Percentile (N=190,171)					Return on Capital (N=191,439)				
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
<i>BC</i>	-.013 (.005)	-.013 (.005)	-.013 (.004)	-.011 (.004)	...	-.008 (.004)	-.008 (.004)	-.007 (.004)	-.002 (.004)	...
State-year	...	.115 (.061)	.112 (.059)	.118 (.059)	.116 (.061)	...	.150 (.067)	.131 (.063)	.137 (.063)	.149 (.066)
Log(age)	...	...	.022 (.005)	.019 (.005)	...	...	...	.014 (.005)	-.000 (.006)	...
Log(employment)	...	...	.021 (.004)	...	...	...	...	.065 (.004)	...	...
Before ⁻¹	...	...	...	...	...	-.003 (.005)	...	...	...	-.003 (.003)
Before ⁰	...	...	...	...	...	-.006 (.004)	...	...	...	-.004 (.004)
After ¹	...	...	...	...	-.018 (.005)	...	...	...	...	-.011 (.005)
After ²⁺	...	...	...	...	-.022 (.007)	...	...	...	...	-.014 (.007)
Log(base year employment) × year fixed effects?	no	no	no	yes	no	no	no	no	yes	no
State of incorporation fixed effects?	yes	yes	yes	yes	yes	yes	yes	yes	yes	yes
Plant fixed effects?	yes	yes	yes	yes	yes	yes	yes	yes	yes	yes
Year fixed effects?	yes	yes	yes	yes	yes	yes	yes	yes	yes	yes

TABLE 10
EFFECTS OF BUSINESS COMBINATION LAWS: ROBUSTNESS TO SAMPLE CHOICES

DEPENDENT VARIABLE	SAMPLE		
	Non-Delaware (1)	Treated States (2)	Year ≥1987
Log(blue-collar wage)	.010 (.006)	.006 (.005)	.007 (.003)
Death dummy	-.025 (.005)	-.021 (.003)	-.017 (.004)
Birth dummy	-.014 (.004)	-.025 (.005)	-.014 (.004)
TFP percentile	-.013 (.005)	-.008 (.004)	-.013 (.005)

NOTE.—Firm-level data are taken from the LRD-Compustat match for the years 1976–95. Each cell in the table corresponds to a different regression. The reported number is the estimated coefficient on *BC*, a dummy variable that equals one if a business combination statute has been passed. Included in the log(blue-collar wage) and TFP percentile regressions are plant fixed effects, year fixed effects, and the mean of the respective dependent variable in the plant's state of location in that year (excluding the plant itself). Included in the death dummy and birth dummy regressions are firm fixed effects, year fixed effects, and the mean of the respective dependent variable in the plant's state of location in that year (excluding the plant itself). Non-Delaware limits the sample to the set of firms that are not incorporated in Delaware. Treated states limits the sample to the set of firms incorporated in a passing state, i.e., a state that passes antitakeover legislation at some point in the sample period. Year ≥1987 limits the sample to the 1987–95 period. Standard errors (in parentheses) are corrected for clustering of the observations at the state of location level.

5.7 Table 10: robustness

- **Read.** Table 10 shows that the core results survive key sample changes.
- **Main point.**
 - excluding Delaware leaves results similar;
 - restricting to passing states leaves the qualitative pattern intact;
 - restricting to 1987 onward also leaves the estimates similar.
- **Interpretation.** The main patterns are not driven by one state, by the never-treated group, or by pre-1987 sample construction.

6 Short summary

- **Method.** Use staggered state antitakeover laws as governance shocks and estimate plant-level differences-in-differences with rich controls for local conditions.
- **Identification.** Treatment is based on **state of incorporation**, while local shocks operate through **state of location**; the mismatch between the two is the central identification device.
- **Main result.** Weaker governance raises wages, especially for white-collar workers, reduces both plant births and plant deaths, leaves investment and size roughly unchanged, and lowers productivity and profitability.

- **Interpretation.** Managers appear to value a **quiet life** more than aggressive expansion.

7 Conclusion

7.1 Core conclusion

The paper shows that reducing takeover discipline changes real decisions inside firms. Managers pay workers more, especially white-collar workers, and they avoid difficult operational reallocation. Productivity and profitability fall.

7.2 Economic intuition

A manager insulated from takeover may not use that freedom to build a larger productive empire. Instead, the manager may use it to make life easier:

- buy peace with labor through higher wages,
- maintain existing plants rather than shut them down,
- avoid the effort and conflict associated with opening new plants,
- expand comfortable headquarters staff rather than productive capacity.

7.3 Takeaway

This paper turns corporate governance into something concrete and operational. The main lesson is that bad governance in this setting looks less like bold overexpansion and more like **managerial quiet life**: fewer hard decisions, more rents for insiders, and lower efficiency.